Applications were received for 70,000 shares. Applications for 8,000 shares were rejected and allotment was made proportionately towards remaining applications. The directors made both the calls and the all the amount were received except the final call on 1,500 shares which were subsequently forfeited. Later 1,200 forfeited shares were reissued by receiving ₹ 8 per share. Give journal entries.

(Answer: Capital reserve account: ₹ 7,200)

Shares issued at premium

15. Viswanath Furniture Ltd. invited applications for 20,000 equity shares of ₹ 10 each at a premium of ₹ 2 per share payable.

₹ 2 on application

₹ 5 (including premium) on allotment

₹ 5 on first and final call

There was over subscription and applications were received for 30,000 shares and the excess applications were rejected by the directors. All the money due were received. Pass the journal entries.

16. United Industries Ltd. issued equity shares of ₹ 10 each at 10% premium payable ₹ 3 on application, ₹ 4 on allotment (including premium), ₹ 2 on first call and ₹ 2 on second and final call.

Journalise the transactions relating to forfeiture of shares for the following situations:

(i) Manoj who holds 250 shares failed to pay the second and final call and his shares were forfeited.

(ii) Manoj who holds 250 shares failed to pay the allotment money and first call and second and final call and his shares were forfeited.

(iii) Manoj who holds 250 shares failed to pay the allotment money and first call money and his shares were forfeited after the first call.

(Answer: Forfeited shares account: (i) ₹ 2,000; (ii) ₹ 750; (iii) ₹750)

17. Kasthuri Ltd. had allotted 20,000 equity shares of ₹ 10 each at a premium of ₹ 2 each to applicants of 30,000 shares on a pro rata basis. The amount payable was ₹ 3 on application, ₹ 5 on allotment (including premium of ₹ 2 each) and ₹ 2 on first call and ₹ 2 on final call. Subin, a shareholder failed to pay the first call and final call on his 500 shares. All the shares were forfeited and out of them 400 shares were reissued @ ₹ 8 per share. Pass necessary journal entries.

(Answer: Capital reserve account: ₹ 1,600)

18. Vairam Ltd. issued 60,000 equity shares of ₹ 10 each at a premium of ₹ 2 per share payable as follows:

On application	₹ 6
On allotment	₹ 4 (including premium)
On first and final call	₹ 2

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